EPAM SYSTEMS - EPAM Reports Results for Fourth Quarter and Full Year 2025

Fourth Quarter 2025 Revenues of $1.408 billion, up 12.8% year-over-year GAAP Income from Operations was 10.6% of revenues and Non-GAAP Income from Operations was 16.3% of revenues GAAP Diluted EPS of $1.98, an increase of 10.0%, and Non-GAAP Diluted EPS of $3.26, an increase of 14.8% on a year-over-year basis Full Year 2025 Revenues of $5.457 billion, up 15.4% year-over-year GAAP Income from Operations was 9.5% of revenues and Non-GAAP Income from Operations was 15.2% of revenues GAAP Diluted EPS of $6.72, a decrease of 14.3%, and Non-GAAP Diluted EPS of $11.50, an increase of 5.9% on a year-over-year basis NEWTOWN, Pa., Feb. 19, 2026 /PRNewswire/ -- EPAM Systems, Inc. (NYSE: EPAM), a leading digital and AI transformation company, today announced results for its fourth quarter and full year ended December 31, 2025. "We are pleased to deliver a strong fourth quarter and full year 2025, notably scaling and accelerating our AI-native revenues. Our 2025 performance reflects our steady execution and meaningful progress in driving business transformation and AI foundational readiness for our clients," said Balazs Fejes, CEO & President, EPAM. "By continuing to invest in AI innovation, talent development and strategic partnerships, we are driving our own transformation, building on top of our core engineering DNA and strengthening our strategic positioning to win in the AI-Native Build era." Fourth Quarter 2025 Highlights Revenues increased to $1.408 billion, a year-over-year increase of $159.2 million, or 12.8%. On an organic constant currency basis, revenues grew 5.6% compared to the fourth quarter of 2024; GAAP income from operations was $149.3 million, an increase of $12.7 million, or 9.3%, compared to $136.5 million in the fourth quarter of 2024; Non-GAAP income from operations was $230.0 million, an increase of $21.8 million, or 10.5%, compared to $208.2 million in the fourth quarter of 2024; Diluted earnings per share ("EPS") on a GAAP basis was $1.98, an increase of $0.18, or 10.0%, compared to $1.80 in the fourth quarter of 2024; Non-GAAP diluted EPS was $3.26, an increase of $0.42, or 14.8%, compared to $2.84 in the fourth quarter of 2024; Full Year 2025 Highlights Revenues increased to $5.457 billion, a year-over-year increase of $729.1 million, or 15.4%. On an organic constant currency basis, revenues grew 4.9% year-over-year; GAAP income from operations was $520.0 million, a decrease of $24.6 million, or 4.5%, compared to $544.6 million in 2024; Non-GAAP income from operations was $831.5 million, an increase of $52.3 million, or 6.7%, compared to $779.2 million in 2024; Diluted EPS on a GAAP basis was $6.72, a decrease of $1.12, or 14.3%, compared to $7.84 in 2024; and Non-GAAP diluted EPS was $11.50, an increase of $0.64, or 5.9%, compared to $10.86 in 2024. Cash Flow and Other Metrics Cash provided by operating activities was $282.9 million in the fourth quarter of 2025, an increase from $130.3 million in the fourth quarter of 2024; and was $654.9 million in 2025, an increase from $559.2 million in 2024; The Company repurchased 1.16 million shares of its common stock for $223.5 million during the fourth quarter of 2025 under its share repurchase program. During the year ended December 31, 2025, the Company repurchased 3.54 million shares of its common stock for $660.6 million under its share repurchase programs. As of December 31, 2025, the Company had $776.5 million remaining under its share repurchase authorization; Cash, cash equivalents and restricted cash totaled $1.301 billion as of December 31, 2025, an increase of $11.0 million, or 0.9%, from $1.290 billion as of December 31, 2024; and Total headcount was approximately 62,850 as of December 31, 2025. Included in this number were approximately 56,600 delivery professionals, an increase of 2.7% from December 31, 2024. 2026 Outlook - Full Year and First Quarter Full Year EPAM expects the following for the full year: The Company expects the year-over-year revenue growth rate to be in the range of 4.5% to 7.5% for 2026. The Company expects the year-over-year revenue growth rate on an organic constant currency basis to be in the range of 3% to 6%; For the full year, EPAM expects GAAP income from operations to be in the range of 10% to 11% of revenues and non-GAAP income from operations to be in the range of 15% to 16% of revenues; The Company expects its GAAP effective tax rate to be approximately 26% and its non-GAAP effective tax rate to be approximately 24%; and EPAM expects GAAP diluted EPS will be in the range of $7.95 to $8.25 for the year, and non-GAAP diluted EPS will be in the range of $12.60 to $12.90 for the year. The Company expects weighted average diluted shares outstanding for the year of 54.4 million. First Quarter EPAM expects the following for the first quarter: The Company expects revenues will be in the range of $1.385 billion to $1.400 billion for the first quarter reflecting a year-over-year increase of 7.0% at the midpoint of the range. The Company expects year-over-year revenue growth on an organic constant currency basis to be approximately 2.9% at the midpoint of the range; For the first quarter, EPAM expects GAAP income from operations to be in the range of 7.0% to 8.0% of revenues and non-GAAP income from operations to be in the range of 13.5% to 14.5% of revenues; The Company expects its GAAP effective tax rate to be approximately 30% and its non-GAAP effective tax rate to be approximately 24%; and EPAM expects GAAP diluted EPS will be in the range of $1.32 to $1.40 for the quarter, and non-GAAP diluted EPS will be in the range of $2.70 to $2.78 for the quarter. The Company expects weighted average diluted shares outstanding for the quarter of 54.7 million. Conference Call Information EPAM will host a conference call to discuss results on Thursday, February 19, 2026 at 8:00 a.m. EST. The conference call will be available live on the EPAM website at https://investors.epam.com. Please visit the website at least 15 minutes prior to the call to register for the event. For those who cannot access the live webcast, a replay will be available in the Investor Relations section of the website. About EPAM Systems EPAM (NYSE:EPAM) is a global leader in AI transformation engineering and integrated consulting, serving Forbes Global 2000 companies and ambitious startups. With over thirty years of expertise in custom software, product and platform engineering, EPAM empowers organizations to become AI-Native enterprises, driving measurable value from innovation and digital investments. Recognized by industry benchmarks and leading analysts as a leader in AI, EPAM delivers globally while engaging locally, making the future real for clients, partners, and employees. We are proud to be recognized by Forbes, Glassdoor, Newsweek, Time Magazine, Great Place to Work and kununu as a Most Loved Workplace around the world. Learn more at www.epam.com and follow us on LinkedIn. Non-GAAP Financial Measures EPAM supplements results reported in accordance with United States generally accepted accounting principles, referred to as GAAP, with non-GAAP financial measures. Management believes these measures help illustrate underlying trends in EPAM's business and uses the measures to establish budgets and operational goals, communicate internally and externally, for managing EPAM's business and evaluating its performance. Management also believes these measures help investors compare EPAM's operating performance with its results in prior periods. EPAM anticipates that it will continue to report both GAAP and certain non-GAAP financial measures in

its financial results, including non-GAAP results that exclude stock-based compensation expenses, acquisition-related costs including amortization of acquired intangible assets, impairment of assets, expenses associated with EPAM's humanitarian commitment to its professionals in Ukraine, costs associated with the geographic repositioning of EPAM employees based outside of Ukraine impacted by the war and geopolitical instability in the region, employee separation costs incurred in connection with restructuring programs including the Company's exit from Russia, certain other one-time charges and benefits, changes in fair value of contingent consideration, foreign exchange gains and losses, excess tax benefits and tax shortfalls related to stock-based compensation, and the related effect on income taxes of the pre-tax adjustments. Management also compares revenues on an "organic constant currency basis," which is a non-GAAP financial measure. This measure excludes the effect of acquisitions by removing revenues from an acquired company in the twelve months after completing an acquisition and foreign currency exchange rate fluctuations by translating current period revenues into U.S. dollars at the weighted average exchange rates of the prior period of comparison. Because EPAM's reported non-GAAP financial measures are not calculated in accordance with GAAP, these measures are not comparable to GAAP and may not be comparable to similarly described non-GAAP measures reported by other companies within EPAM's industry. Consequently, EPAM's non-GAAP financial measures should not be evaluated in isolation or supplant comparable GAAP measures, but rather, should be considered together with the information in EPAM's consolidated financial statements, which are prepared in accordance with GAAP. Forward-Looking Statements This press release includes estimates and statements which may constitute forward-looking statements made pursuant to the safe harbor provisions of the Private Securities Litigation Reform Act of 1995, the accuracy of which are necessarily subject to risks, uncertainties, and assumptions as to future events that may not prove to be accurate. Our estimates and forward-looking statements are mainly based on our current expectations and estimates of future events and trends, which affect or may affect our business and operations. These statements may include words such as "may," "will," "should," "believe," "expect," "anticipate," "intend," "plan," "estimate" or similar expressions. Those future events and trends may relate to, among other things, developments relating to the war in Ukraine and escalation of the war in the surrounding region, political and civil unrest or military action in the geographies where we conduct business and operate, difficult conditions in global capital markets, foreign exchange markets, global trade and the broader economy, the adoption and implementation of artificial intelligence technologies by EPAM and its clients, and the effect that these events may have on client demand and our revenues, operations, access to capital, and profitability. Other factors that could cause actual results to differ materially from those expressed or implied include general economic conditions, the risk factors discussed in the Company's most recent Annual Report on Form 10-K and the factors discussed in the Company's Quarterly Reports on Form 10-Q, particularly under the headings "Management's Discussion and Analysis of Financial Condition and Results of Operations" and "Risk Factors" and other filings with the Securities and Exchange Commission. Although we believe that these estimates and forward-looking statements are based upon reasonable assumptions, they are subject to several risks and uncertainties and are made based on information currently available to us. EPAM undertakes no obligation to update or revise any forward-looking statements, whether as a result of new information, future events, or otherwise, except as may be required under applicable securities law. EPAM SYSTEMS, INC. AND SUBSIDIARIES CONSOLIDATED STATEMENTS OF INCOME (Unaudited) (In thousands, except per share data) Three Months Ended December 31, Year Ended December 31, 2025 2024 2025 2024 Revenues $ 1,407,548 $ 1,248,351 $ 5,457,056 $ 4,727,940 Operating expenses: Cost of revenues (exclusive of depreciation and amortization) 984,346 868,314 3,883,535 3,277,497 Selling, general and administrative expenses 243,161 216,969 928,707 816,300 Depreciation and amortization expense 30,787 26,556 124,811 89,559 Income from operations 149,254 136,512 520,003 544,584 Interest and other income (loss), net (89) 6,451 11,546 46,876 Foreign exchange loss (5,344) (5,632) (25,925) (7,048) Income before provision for income taxes 143,821 137,331 505,624 584,412 Provision for income taxes 34,467 34,032 127,946 129,879 Net income $ 109,354 $ 103,299 $ 377,678 $ 454,533 Net income per share: Basic $ 1.99 $ 1.82 $ 6.76 $ 7.93 Diluted $ 1.98 $ 1.80 $ 6.72 $ 7.84 Shares used in calculation of net income per share: Basic 54,942 56,818 55,893 57,288 Diluted 55,341 57,435 56,233 57,983 EPAM SYSTEMS, INC. AND SUBSIDIARIES CONSOLIDATED BALANCE SHEETS (Unaudited) (In thousands, except par value) As of December 31, 2025 As of December 31, 2024 Assets Current assets Cash and cash equivalents $ 1,296,077 $ 1,286,267 Trade receivables and contract assets, net of allowance of $6,350 and $5,612, respectively 1,108,201 1,002,175 Prepaid and other current assets 129,610 137,806 Total current assets 2,533,888 2,426,248 Property and equipment, net 202,387 207,667 Operating lease right-of-use assets, net 114,875 128,244 Intangible assets, net 406,586 436,418 Goodwill 1,210,564 1,181,575 Deferred tax assets 295,115 269,799 Other noncurrent assets 138,721 100,522 Total assets $ 4,902,136 $ 4,750,473 Liabilities Current liabilities Accounts payable $ 55,329 $ 44,702 Accrued compensation and benefits expenses 608,232 484,952 Accrued expenses and other current liabilities 250,688 201,356 Income taxes payable, current 25,520 50,395 Operating lease liabilities, current 37,173 39,634 Total current liabilities 976,942 821,039 Long-term debt 25,034 25,194 Operating lease liabilities, noncurrent 81,497 98,426 Deferred tax liabilities, noncurrent 76,969 92,362 Other noncurrent liabilities 63,886 82,301 Total liabilities 1,224,328 1,119,322 Commitments and contingencies Equity Stockholders' equity Common stock, $0.001 par value; 160,000 authorized; 54,274 shares issued and outstanding at December 31, 2025, and 56,869 shares issued and outstanding at December 31, 2024 54 57 Additional paid-in capital 1,390,423 1,190,222 Retained earnings 2,268,204 2,555,796 Accumulated other comprehensive income (loss) 18,545 (116,864) Total EPAM Systems, Inc. stockholders' equity 3,677,226 3,629,211 Noncontrolling interest in consolidated subsidiaries 582 1,940 Total equity 3,677,808 3,631,151 Total liabilities and equity $ 4,902,136 $ 4,750,473 EPAM SYSTEMS, INC. AND SUBSIDIARIES Reconciliations of Non-GAAP Financial Measures to Comparable GAAP Financial Measures (Unaudited) (In thousands, except percent and per share amounts) Reconciliation of revenue growth as reported on a GAAP basis to revenue growth on an organic constant currency basis is presented in the table below: Three Months Ended December 31, 2025 Year Ended December 31, 2025 Revenue growth as reported 12.8 % 15.4 % Inorganic revenue (4.6) % (9.2) % Foreign exchange rates (2.6) % (1.3) % Revenue growth on an organic constant currency basis 5.6 % 4.9 % Reconciliation of various income statement amounts from GAAP to non-GAAP for the three months and years ended December 31, 2025 and 2024 is presented in the table below: Three Months Ended December 31, 2025 Year Ended December 31, 2025

GAAP Adjustments Non-GAAP GAAP Adjustments Non-GAAP Cost of revenues (exclusive of depreciation and amortization)(1) $ 984,346 $ (23,550) $ 960,796 $ 3,883,535 $ (88,055) $ 3,795,480 Selling, general and administrative expenses(2) $ 243,161 $ (39,574) $ 203,587 $ 928,707 $ (152,070) $ 776,637 Income from operations(3) $ 149,254 $ 80,779 $ 230,033 $ 520,003 $ 311,492 $ 831,495 Operating margin 10.6 % 5.7 % 16.3 % 9.5 % 5.7 % 15.2 % Net income(4) $ 109,354 $ 70,855 $ 180,209 $ 377,678 $ 269,131 $ 646,809 Diluted earnings per share $ 1.98 $ 3.26 $ 6.72 $ 11.50 Three Months Ended December 31, 2024 Year Ended December 31, 2024 GAAP Adjustments Non-GAAP GAAP Adjustments Non-GAAP Cost of revenues (exclusive of depreciation and amortization)(1) $ 868,314 $ (22,040) $ 846,274 $ 3,277,497 $ (59,821) $ 3,217,676 Selling, general and administrative expenses(2) $ 216,969 $ (37,637) $ 179,332 $ 816,300 $ (145,329) $ 670,971 Income from operations(3) $ 136,512 $ 71,675 $ 208,187 $ 544,584 $ 234,625 $ 779,209 Operating margin 10.9 % 5.8 % 16.7 % 11.5 % 5.0 % 16.5 % Net income(4) $ 103,299 $ 60,066 $ 163,365 $ 454,533 $ 175,430 $ 629,963 Diluted earnings per share $ 1.80 $ 2.84 $ 7.84 $ 10.86 Items (1) through (4) above are detailed in the following table with the specific cross-reference noted in the appropriate item. Three Months Ended December 31, Year Ended December 31, 2025 2024 2025 2024 Stock-based compensation expenses $ 23,019 $ 22,074 $ 86,252 $ 80,944 Poland R&D incentives(a) (556) (505) (23,473) Humanitarian support in Ukraine(b) 531 522 2,308 2,350 Total adjustments to GAAP cost of revenues(1) 23,550 22,040 88,055 59,821 Stock-based compensation expenses 22,127 22,624 90,512 86,353 Cost Optimization charges(c) 15,279 4,837 47,893 31,270 Other acquisition-related expenses 234 7,031 1,160 15,808 Humanitarian support in Ukraine(b) 1,861 3,127 12,250 10,821 Geographic repositioning(d) (4) 849 One-time charges 73 22 255 228 Total adjustments to GAAP selling, general and administrative expenses(2) 39,574 37,637 152,070 145,329 Amortization of purchased intangible assets 17,655 11,998 71,367 29,475 Total adjustments to GAAP income from operations(3) 80,779 71,675 311,492 234,625 Foreign exchange loss 5,344 5,632 25,925 7,048 Change in fair value of contingent consideration included in Interest and other income, net 3,878 1,673 3,465 5,700 One-time benefits included in Interest and other income (loss), net (1,331) (700) (3,143) Provision for income taxes: Tax effect on non-GAAP adjustments (18,631) (15,640) (74,086) (44,522) Tax shortfall (excess tax benefit) related to stock-based compensation 1,175 (1,943) 1,926 (22,448) Net discrete charge (benefit) from tax planning(e) (1,690) 1,109 (1,830) Total adjustments to GAAP net income(4) $ 70,855 $ 60,066 $ 269,131 $ 175,430 (a) We have excluded from non-GAAP results the portion of the benefit from Poland R&D incentives related to qualifying activities performed in 2023 as it represents a nonrecurring one-time benefit. (b) Humanitarian support in Ukraine includes expenses related to EPAM's $100 million humanitarian commitment in response to Russia's invasion of Ukraine to support EPAM professionals and their families in and displaced from Ukraine. These expenses are incremental to those expenses incurred prior to the crisis, clearly separable from normal operations, and not expected to recur once the crisis has subsided and operations return to normal. (c) Cost Optimization charges include severance, facilities and contract termination charges incurred in connection with the programs initiated in the third quarter of 2023, second quarter of 2024, and second quarter of 2025. Consistent with the Company's historical non-GAAP policy, costs incurred in connection with formal restructuring initiatives have been excluded from non-GAAP results as these are attributable to targeted restructuring efforts and not expected to recur once the respective Cost Optimization program is completed. (d) Geographic repositioning includes expenses associated with the relocation to other countries of employees based outside of Ukraine impacted by the war and geopolitical instability in the region, and includes the cost of accommodations, travel and food. These expenses are incremental to those expenses incurred prior to the crisis, clearly separable from normal operations, and not expected to recur once the crisis has subsided and operations return to normal. (e) Net discrete charge or benefit related to the implementation of tax planning to disregard certain foreign subsidiaries as separate entities for U.S. income tax purposes. Consistent with the Company's historical non-GAAP policy, the charge or benefit related to the implementation of tax planning has been excluded from non-GAAP results as it is one-time and unusual in nature. EPAM SYSTEMS, INC. AND SUBSIDIARIES Reconciliations of Guidance Non-GAAP Financial Measures to Comparable GAAP Financial Measures (Unaudited) The below guidance constitutes forward-looking statements within the meaning of the federal securities laws and is based on a number of assumptions that are subject to change and many of which are outside the control of the Company. Actual results may differ materially from the Company's expectations depending on factors discussed in the Company's filings with the Securities and Exchange Commission. Reconciliation of expected revenue growth on a GAAP basis to expected revenue growth on an organic constant currency basis is presented in the table below: First Quarter 2026 Full Year 2026 (at midpoint of range) Revenue growth 7.0 % 4.5% to 7.5% Foreign exchange rates (4.0) % (1.5) % Inorganic revenue (0.1) % % Revenue growth on an organic constant currency basis 2.9 % 3.0% to 6.0% Reconciliation of expected GAAP to non-GAAP income from operations as a percentage of revenues is presented in the table below: First Quarter 2026 Full Year 2026 GAAP income from operations as a percentage of revenues 7.0% to 8.0% 10.0% to 11.0% Stock-based compensation expenses 3.9 % 3.4 % Included in cost of revenues (exclusive of depreciation and amortization) 1.9 % 1.7 % Included in selling, general and administrative expenses 2.0 % 1.7 % Humanitarian support in Ukraine(b) 0.2 % 0.1 % Cost Optimization charges(c) 1.1 % 0.3 % Amortization of acquired intangible assets 1.3 % 1.2 % Non-GAAP income from operations as a percentage of revenues(f) 13.5% to 14.5% 15.0% to 16.0% (f) EPAM has not included the impact of potential future one-time charges including asset impairments, unusual gains and losses, expenses incurred in connection with future cost optimization actions, and other acquisition-related expenses because the Company is unable to predict these amounts with reasonable certainty. Reconciliation of expected GAAP to non-GAAP effective tax rate is presented in the table below: First Quarter 2026 Full Year 2026 GAAP effective tax rate (approximately) 30.0 % 26.0 % Tax shortfall related to stock-based compensation (3.9) % (0.6) % Tax effect on non-GAAP adjustments (2.1) % (1.4) % Non-GAAP effective tax rate (approximately) 24.0 % 24.0 % Reconciliation of expected GAAP to non-GAAP diluted earnings per share is presented in the table below: First Quarter 2026 Full Year 2026 GAAP diluted earnings per share $1.32 to $1.40 $7.95 to $8.25 Stock-based compensation expenses 0.97 3.71 Included in cost of revenues (exclusive of depreciation and amortization) 0.47 1.81 Included in selling, general and administrative expenses 0.50 1.90 Humanitarian support in Ukraine(b) 0.06 0.22 Cost Optimization charges(c) 0.25 0.45 Amortization of acquired intangible assets 0.32 1.27 Foreign exchange loss 0.05 0.22 Provision for income taxes: Tax effect on non-GAAP adjustments (0.35) (1.28) Tax shortfall related

to stock-based compensation 0.08 0.06 Non-GAAP diluted earnings per share(f) $2.70 to $2.78 $12.60 to $12.90

View original content to download multimedia:https://www.prnewswire.com/news-releases/epam-reports-results-for-fourth-quarter-and-full-year-2025-302692245.html

SOURCE EPAM Systems, Inc.